Introduction

‘Risk comes from not knowing what you are doing.’

—Warren Buffett[1]

If you visit a branch of a typical private sector bank in India on a Saturday afternoon, you will notice most relationship managers (RMs) selling packaged financial products, i.e. synthetic instruments that offer exposure to more than one financial asset in a packaged form, which modifies that exposure compared to a direct holding in any one financial asset. However, if you listen closely to what the RM is saying, you will find that little of it is genuine advice; most of it is promotional literature disguised as financial advice. One of the greatest examples of mis-selling by financial intermediaries in India has been Unit Linked Insurance Plans (ULIPs).

ULIPs are ‘push’ products and thus require high brokerage commissions to be sold, i.e. customers do not—of their own volition—buy these products unless an RM cajoles them into doing so. The fact that the tenor runs into decades allows the manufacturer to implicitly charge the customer a hefty upfront brokerage commission (these used to be as high as 40 to 60 per cent of the first year premium) and yet promise good absolute returns. Halan, Sane and Thomas estimated that Indian investors had lost more than Rs 1.5 lakh crore (approximately US$23 billion, yes, billion!) on these products because of lapsing. This was because investors were not informed about the compulsory investment required in subsequent years.[2] This allowed insurance companies to confiscate investors’ funds when they did not make payments in subsequent years. Unfortunately, such mis-selling is not just a thing of the past. It continues to characterize the financial services landscape in India.